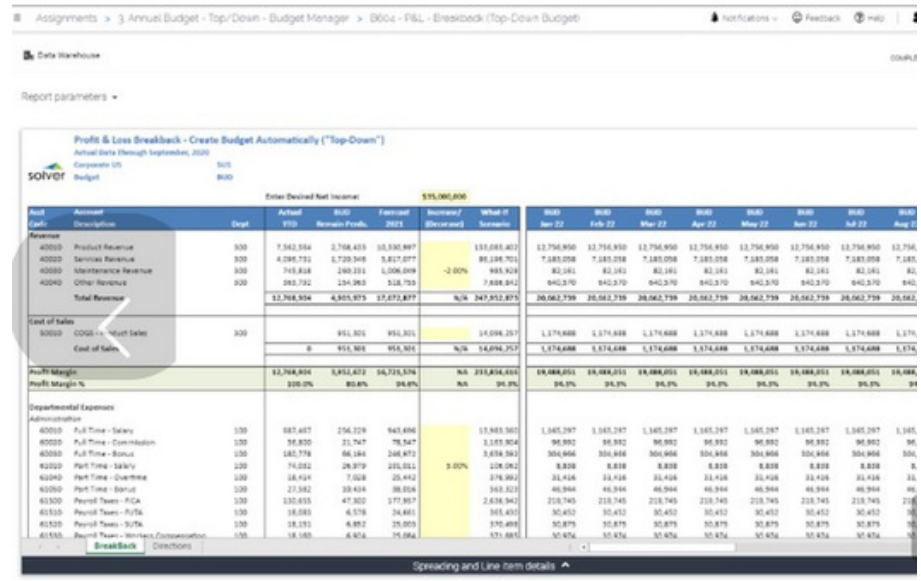
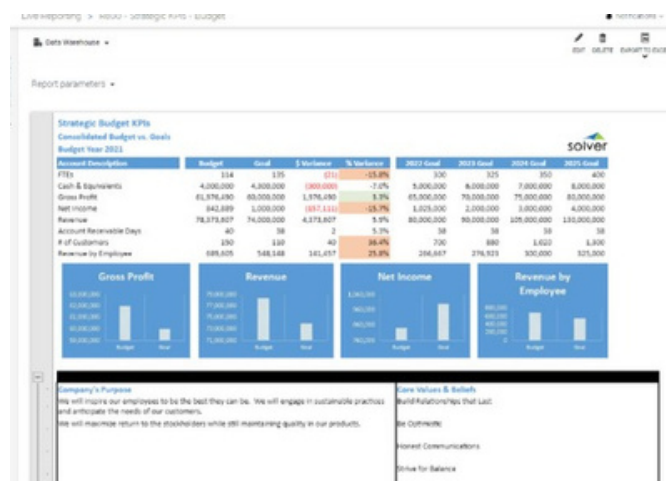
BUDGETING AND FORECASTING GUIDE





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All businesses should engage in budgeting and forecasting to some degree. If you're an executive, finance or operations manager improving the budgeting and forecasting processes should always be a top priority.

Budgeting and forecasting helps to formulate strategies, plan the future and align goals across the entire organization. Both processes are crucial to a company's growth. But even though budgeting and forecasting are similar, there are key differences that set them apart. It's important to understand these differences and prioritize what's important, and allocate your resources accordingly. In some company's, budgeting and forecasting are
separate teams to keep a clearer focus on each specific process. To appreciate how each one contributes to organizational success, you have to break down budgeting and forecasting and drill into the processes and best practices for each one.

What Is Budgeting?

Budgeting is the process of planning your company's revenue and expense figures for a specific period of time. It involves identifying available cash flows and allocating financial resources for your company's required spending. Budgeting allows company's to chart your organization's path and assist management with strategic business planning. The process results in a clearly defined plan that's reflective of your company's financial and operational goals.

The primary characteristics of a typical budgeting process:

- An annual budget, the process usually takes between three to six months to complete.
- Budgeting should start from the bottom up, and cross-functional stakeholders should be involved in the process. Budgeting requires detailed documentation of all the sources and uses of cash, allowing accurate prediction of cash flows.
- Periodically compare the budget with up-to-date financial results for real-time insight. (A variance analysis of the actual versus budgeted income statement is a good example of this.)

5 types of Business Budgets

1. **Master budget.**
A master budget is an aggregate of a company's individual budgets designed to present a complete picture of its financial activity and health.
2. **Operating budget.** An operating budget is a forecast and analysis of projected income and expenses over the course of a specified time period.
3. **Cash flow budget.** A cash flow budget projects how and when cash flows in and out of a business within specified time period. It can help determine whether a company is managing cash wisely.
4. **Financial budget.** A financial budget represents a company's strategy for managing its assets, cash flow, income, and expenses
5. **Static budget.** A static budget is a fixed budget thatremains unaltered regardless of changes in factors such as sales volume or revenue.

What Is Forecasting?

Forecasting is the process of analyzing historical trends in order to predict future results based on a company's most up-to-date actuals. Done over a compressed time frame, forecasting typically focuses on major expenses and revenue line items.

The primary characteristics of the forecasting process:

- Forecasting is performed regularly after financial statements are released, usually right after a month-end or quarter-end close cycle.
- Forecasts generally show summarized projections of. revenue and expenses.
- Key performance metrics are updated based on forecasted numbers.
- Publicly traded companies must disclose their high-level forecasts to investors.

4 Types of Financial Forecasting

1. S**ales forecasting.** Sales forecasting is predicting the amounts of products/services you expect to sell within a projected fiscal period. There are two sales forecasting methodologies: top-down and bottom-up.
2. **Cash flow forecasting.** Cash flow forecasting is estimating the flow of cash in and out of the company over a set fiscal period. It's based on factors such as income and expenses.
3. **Budget forecasting.** Budget forecasting aims to determine the ideal outcome of the budget, assuming that everything proceeds as planned. It relies on the budget's data, which relies on financial forecasting data.
4. **Income forecasting.** Income forecasting entails analyzing the company's past revenue performance and current growth rate to estimate future income.

The Benefits of Forecasting

When done efficiently and with reliable data, forecasting gives you the insight you need to reallocate resources proactively and help management make data-driven decisions.

Some of the benefits of Forecasting are:

- Forecasting reveals business trends that help you determine if you need to adjust course.
- It’s easier to manage cash flow and capital requirements when informed where future expenses may fluctuate.
- You can capitalize on financing and investment opportunities when you offer investors reliable forecasts.
- You can draw on your forecasted numbers as the logical starting point for your next budget.

Budgeting and Forecasting: Key Differences

Budgeting is figuring out how much money your company will need to spend in order to achieve its desired business results. Forecasting, on the other hand, is about proactively analyzing the budget and using both historical and real-time data to predict what those business results will look like.

To be more clear, budgets are intended to be an outline of the direction management wants to take the business, forecasts are reports that provide a clearer indication of where the business is actually heading and whether it's reaching its budgetary goals .

Ultimately, budgeting and forecasting go hand in hand, and can be used together to optimize your company's long-term strategy.

	Budgeting	Forecasting
Projected Timeframe	1–5 years	Periodic Forecasts: The rest of the current fiscal year.
Average Preparation Time	3–6 months	1–4 weeks (Rolling Forecasts: usually the next 5 quarters or more.
External Disclosure:	Not Disclosed	Disclosed (at least for public companies)
Reliability	Less reliable later in the year when the numbers are outdated.	More reliable because they're based on up-to-date actuals
Best Use	Formulating strategies and business goals.	Targeted decision-making in specific areas.

How To Build a Budget

Budgets should always be as thorough and as detailed as possible. The basic business budget should include the following information:

- All planned revenue—including types of revenue, value and when expected.
- Fixed costs for your business (payroll, salaries, rent, utilities, insurance, taxes, etc.)
- Variable costs (supplies, professional services, maintenance, etc.)

Steps To Build a Budget

1. Add income sources together to total the amount of money coming into your business monthly. make sure to calculate only revenue, not profit. Once you've identified all of your income streams, calculate your monthly income. It's important to do this for multiple months — and preferably for at least the previous 12 months, provided you have that much data available. With 12 months of information, you can examine how the monthly income changes over time .

2. The second step is to add up all of your fixed costs. Fixed costs might occur daily, weekly, monthly or even yearly, so make sure you're capturing them all. Once you've identified your business's fixed costs, you'll subtract those from your income. As you determine your fixed costs, you may come across some variable and discretionary expenses. These expenses should be subtracted from your income as well. Also, you may have one-time purchases or one-off expenses that pop up. Look ahead each month to determine if you'll need to set aside extra money.

3. Calculate the gross profit. Take the gross revenue and subtract the cost of goods sold.

4. Calculate the net profit. Total up the remaining expenses and subtract that number from your gross profit.

5. Divide and allocate the net profit. This is the body of the budget. The different parts of the budget differ from company to company, but some standards are; taxes, emergency funds, expenses, investments, giving and CEO's salary.

6. Prepare financial statements—balance sheet, income statement and cash flow—using your budgeted numbers.

7. Identify KPIs and other performance ratios to see how the budgeted results compare to previous years or anticipated changes in market conditions.

8. Review the final budget and start looking at opportunities for strategic growth (investment and divestment opportunities, adding or reducing debt/equity, etc.)

Things To Consider When Building a Budget

Be conservative with revenue. Be sure to enter numbers that are as accurate as possible. When planning for revenue growth, be conservative as well, perhaps budgeting for a 5%-10% growth for the year.

Plan for growth. When a business grows, revenue will increase, but so will expenses, as you increase advertising, add employees, and pay additional taxes.

Plan for unexpected expenses. One catastrophe can be disastrous for your business, particularly if you operate on limited cash flow.

Long-term goals. Do you plan on increasing your customer base, renting or buying a building. Be sure to factor that into your budget, and plan your income and expenses accordingly.

Because budgets are prepared so far in advance and based on a fixed set of assumptions, they can quickly become outdated with change. This is where forecasting comes in.

Steps To Build a Financial Forecast

1.Identify the key metrics (sales volume, marketing expenses, etc,) to focus on with your forecast. “What are you trying to determine?”

2.Gather your latest statements and input them into your forecast template.

3.Determine the time frame for your forecast. (Periodic forecasts typically look ahead to the end of the budgeted period.)

4. Choose a financial forecast method. Quantitative or Qualitative forecasting.

5.Calculate trends based on your historical and year-to-date actuals. Document results.
6.Apply those trend calculations to your real-time numbers to come up with forecasted results.

Once the latest statements are confirmed, the forecasts should be updated. This gives a clear picture of how the business is performing against your budgeted goals.

Rolling Forecasts

Rolling forecast are generated monthly, quarterly or weekly to help you plan for a defined period that's beyond the scope of the annual budget. Instead of just projecting out to the end of the fiscal year, most rolling forecasts will predict the next 12 months or more. Once a fiscal month or quarter has been actualized, your forecast just "rolls" over to the next period.

Why Rolling Forecasts Are Important:

- Rolling forecasts have more reliable information about long-term trends and performance, allowing businesses to mitigate risk and proactively plan.
- Rolling forecasts use real-time data so they stay relevant all the time. You can tweak forecasts on demand with up-to-the-minute numbers, which is helpful in business environments where you might need to pivot quickly.
- By projecting out beyond the current year, rolling forecasts ensure future budgets are strategic, well-informed plans.

Budgeting and Forecasting Software

1. Board
2. Datarails
3.Sage Intacct
4. NetSuite
5.Mulitview ERP
6. Budgyt
7. Accrants
8. Anaplan
9. Workday
10. Planful
11.Dynamics 365
12. Solver
13. Vena
14. Jedox
15. Jirav
16. Mosaic
17.Budget Maestro
18. Prophix
19.Dynac CPM
20. Limelight

Budgeting and Forecasting In Excel

Sometimes a finance team wants to create a budget and forecasting themselves in Excel. It's helpful that Excel has all the necessary features and functions that allow you to easily do this using the forecasting method.

5 Tips To Improve Your Use of Excel

1.Use file-sharing tools to make sure all collaborators are working from the most up-to-date spreadsheet

2.Master advanced formulas and functions offered in Excel (VLOOKUP, XLOOKUP, Pivot tables)

3. Take advantage of Excel’s automation capabilities

4.Use cloud-based data management to support Excel’s limitations of scale and workload volume.

5.Know when your budgeting and forecasting have outgrown Excel

Steps to Effective Budgeting and Forecasting

1. Assess Current Year-to-Date Performance
2.Examine Your Long-Range Plan
3.Align metrics to drive business forward in leap functions versus linearly.
4.Q4 Review. In the final month of the year, update your forecast to validate against your budget.
5.Distribute Finalized Budgets to the Business6.Make Budgeting and Forecasting an Agile, Ongoing Process

When companies embrace data and analytics in conjunction with well-established planning and forecasting best practices, they enhance strategic decision making. Overall, these tools and practices can save time, reduce errors, promote collaboration and foster a more disciplined management culture that delivers a true competitive advantage.

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